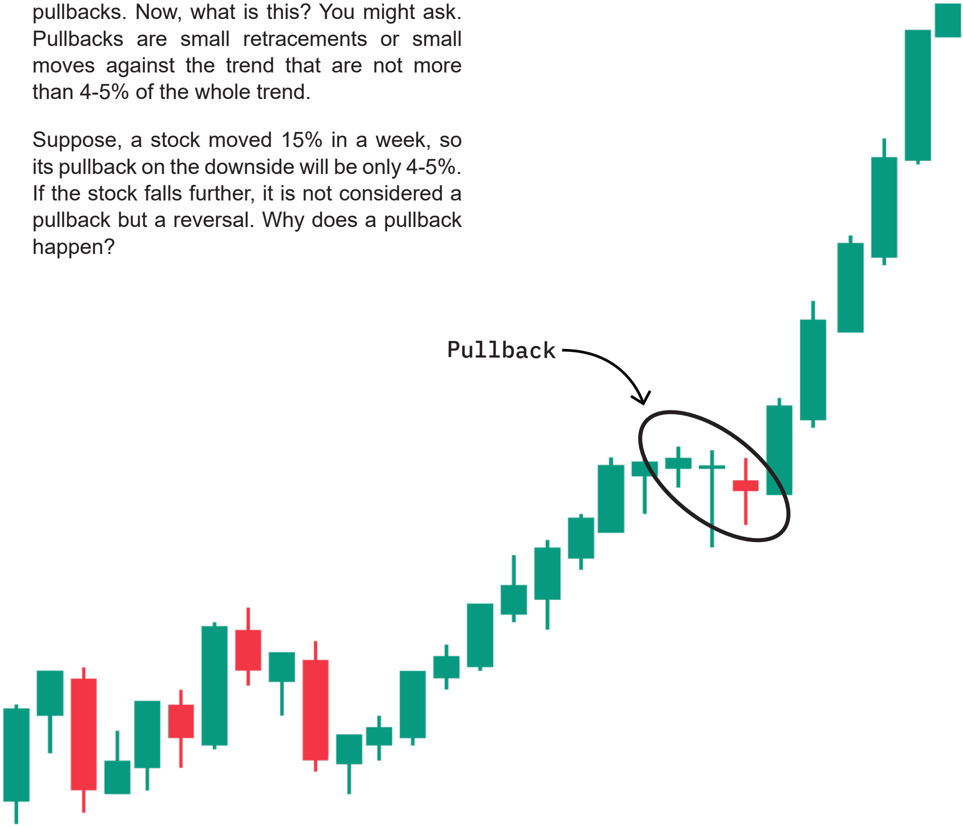
The answer is the concept of confirmation and pullbacks. Now, what is this? You might ask. Pullbacks are small retracements or small moves against the trend that are not more than 4-5% of the whole trend.

Suppose, a stock moved 15% in a week, so its pullback on the downside will be only 4-5%. If the stock falls further, it is not considered a pullback but a reversal. Why does a pullback happen?



The main reason for a pullback in a sustained trend is profit-booking on smaller timeframes or some negative news. Be it intraday trades or positional, the concept of pullbacks remains the same at every time interval. An intraday trader will look for pullbacks on a 5-minute timeframe, and a positional trader will look for a pullback on a weekly timeframe.